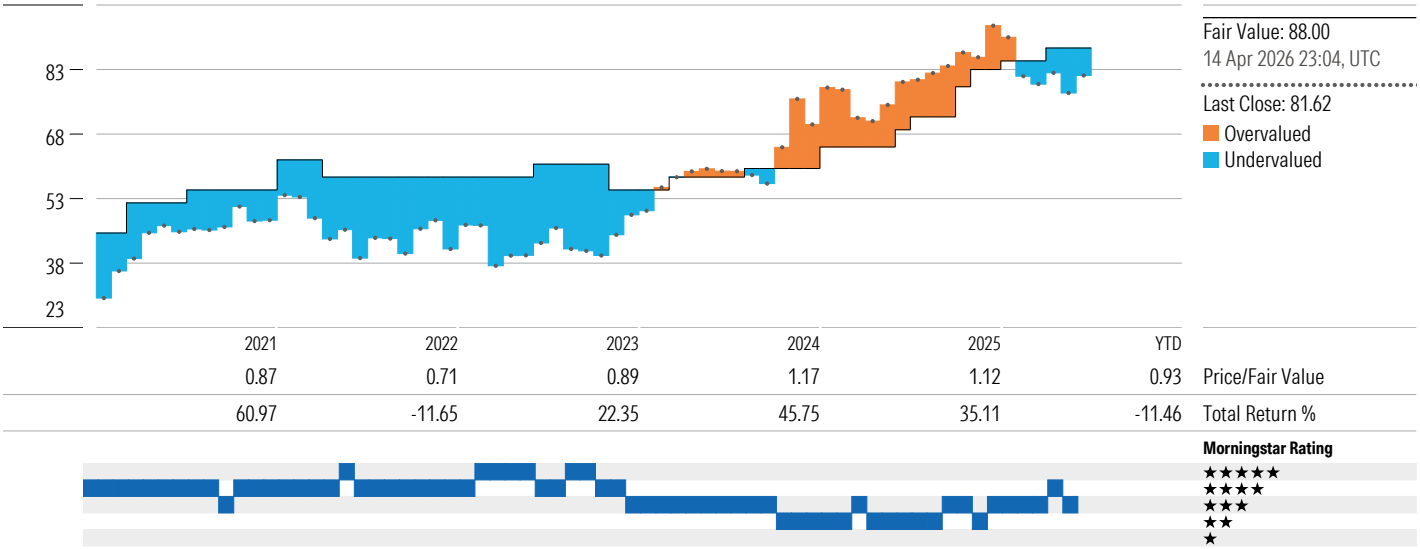
Wells Fargo & Co WFC ★★★ 5 Jun 2026 21:26, UTC

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Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	0.87	0.71	0.89	1.17	1.12	0.93	Price/Fair Value
	60.97	-11.65	22.35	45.75	35.11	-11.46	Total Return %

Morningstar Rating

Total Return % as of 04 Jun 2026. Last Close as of 04 Jun 2026. Fair Value as of 14 Apr 2026 23:04, UTC.

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'The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

It Will Take More Than a Soft Quarter to Derail Wells Fargo's Long-Term Momentum

Business Strategy & Outlook Austin Taggart, CFA, Equity Analyst, 14 Apr 2026

Wells Fargo's strategy is geared to capitalize on the efficacy of a scaled, integrated financial services model. Operating across retail banking, corporate financing, institutional capital markets, and wealth management, the firm leverages its reach to create a synergistic ecosystem across client types. Crucially, the removal of the long-standing asset cap in 2025 positions the bank more attractively to fully utilize and grow its already massive $2.2 trillion balance sheet. More specifically, Wells Fargo can now aggressively expand its loan portfolios to capture deposit market share without the artificial ceiling that has recently hindered its competitive position.

Looking ahead, we expect Wells Fargo to continue forging comprehensive digital ecosystems for both its retail and commercial clients. We view leveraging the firm's scale to make substantial investments aimed at improving customer experience as an appropriate strategy, as the bank can fractionalize across its expansive footprint in a way that smaller peers simply cannot. These investments, in turn, allow the bank to deeply embed itself into the daily operations of both commercial and retail clients, utilizing much of the same data architecture and technology to support both platforms. For retail clients, this approach is manifested in holistic offerings like modernized mobile applications serving 33.5 million active users with features like Fargo, an artificial intelligence-powered assistant, and integrated payment solutions like Zelle and Paze. The firm leverages this shared infrastructure

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Sector Financial Services

Industry Banks - Diversified

Business Description

Wells Fargo is a premier, North American-focused banking titan that commands a $2.2 trillion balance sheet and the third-highest deposit market share in the United States. The bank uses a dense, expansive network of 4,093 branches to champion retail consumers and the middle market, where the firm has built a particularly strong reputation. Following the removal of its federal asset cap in 2025, the firm is set to deploy its legacy excess liquidity to expand each of its four segments: consumer & business lending, commercial banking, corporate & investment banking, and wealth & investment management.

spending on the commercial side, enhancing its Vantage platform to seamlessly unify banking, lending, and foreign exchange services.

Underpinning the firm's growth outlook is a revitalized commercial strategy with a formidable deposit-gathering engine tied to that segment. The firm emphasizes holistic corporate relationships by building out coverage in underpenetrated markets and capturing operational cash flows. Armed with this stable, low-cost funding base, the firm is exceptionally positioned to achieve its expected mid-single-digit loan and deposit growth targets while delivering robust shareholder returns.

Bulls Say Austin Taggart, CFA, Equity Analyst, 14 Apr 2026

- The new Basel III re-proposal lowers the risk-weighting for residential mortgage lending, which positions Wells Fargo to regain significant market share.
- The resulting reputational enhancement after lifted consent orders and asset cap removal may enable advisor retention and net new asset growth in line with peers, enabling strong uplift to fee-based income.
- Vantage adoption rates that surprise to the upside for commercial clients could lead to it becoming the default choice for middle-market treasurers, granting further access to operational cash and high-margin fee revenue.

Bears Say Austin Taggart, CFA, Equity Analyst, 14 Apr 2026

- The continued push toward Fargo for mass affluent clients could decrease migration toward traditional and more lucrative wealth advisors.
- Increased proliferation of fintech platforms that pay higher yields on deposits could bring up funding costs for all banks even higher than we forecast.
- A "hard landing" scenario for CRE office could lead to elevated net charge-offs as bridge loans mature over the next couple years.

Economic Moat Austin Taggart, CFA, Equity Analyst, 14 Apr 2026

We believe that Wells Fargo has utilized the twin pillars of cost advantages over its competitors and customer switching costs to forge a wide economic moat, suggesting it is more likely than not to generate excess risk-adjusted profits over the next 20 years. Wells Fargo weathered significant regulatory penalties over the past decade, inclusive of over $6.7 billion in fines and the first-ever-implemented asset cap, which prohibited the bank from growing its balance sheet above $1.95 trillion from 2018 until being lifted in mid-2025, yet the bank still averaged a return on tangible common equity of 12.3% over the trailing decade, comfortably edging our estimated 9% cost of equity, a testament to its sticky, low-cost deposit franchise. Looking ahead, we expect returns to improve considerably and forecast the firm to generate annualized returns on tangible common equity of 15.0% over the next decade as it transitions from a defensive posture to a period of more aggressive expansion now that it has been excused from the penalty box.

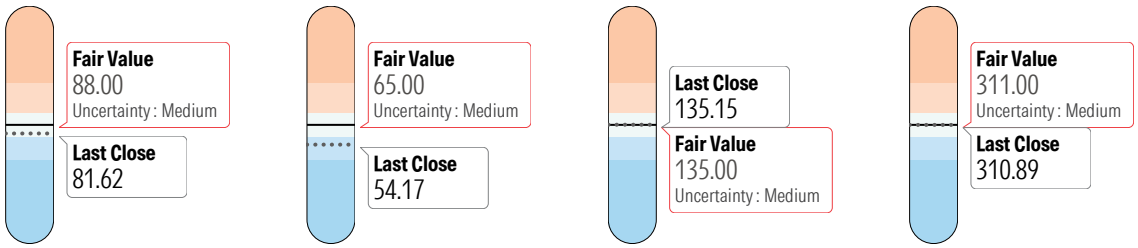
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Competitors



	Wells Fargo & Co WFC	Bank of America Corp BAC	Citigroup Inc C	JPMorgan Chase & Co JPM
Economic Moat	Wide	Wide	None	Wide
Currency	USD	USD	USD	USD
Fair Value	88.00 5 Jun 2026 16:26, UTC	65.00 5 Jun 2026 16:29, UTC	135.00 5 Jun 2026 16:28, UTC	311.00 5 Jun 2026 16:27, UTC
1-Star Price	118.80	87.75	182.25	419.85
5-Star Price	61.60	45.50	94.50	217.70
Assessment	Fairly Valued 5 Jun 2026	Undervalued 5 Jun 2026	Fairly Valued 5 Jun 2026	Fairly Valued 5 Jun 2026
Morningstar Rating	★★★5 Jun 2026 05:00, UTC	★★★★5 Jun 2026 05:00, UTC	★★★5 Jun 2026 05:00, UTC	★★★5 Jun 2026 05:00, UTC
Analyst	Austin Taggart, Equity Analyst	Austin Taggart, Equity Analyst	Austin Taggart, Equity Analyst	Austin Taggart, Equity Analyst
Capital Allocation	Standard	Standard	Standard	Exemplary
Price/Fair Value	0.93	0.83	0.98	1.00
Price/Sales	3.09	3.55	2.76	4.60
Price/Book	1.54	1.40	1.18	2.43
Price/Earning	12.65	13.48	16.42	14.95
Dividend Yield	2.20%	2.08%	1.81%	1.89%
Market Cap	250.75 Bil	382.01 Bil	225.94 Bil	837.00 Bil
52-Week Range	71.93—97.76	43.66—57.55	75.66—135.69	260.31—337.25
Investment Style	Large Value	Large Value	Large Value	Large Value

Before further detailing the moat sources and individual segments, we think it's imperative to describe the regulatory penalties faced by Wells Fargo to better contextualize how depressed the bank's earnings profile was relative to our future forecasts. By capping Wells Fargo's ability to grow its assets, the bank was, by extension, forced to take active measures to prevent material deposit growth on the liability side of balance sheet, such as turning away nonoperating cash from its commercial clients. As a result, Wells Fargo only increased its US deposits by 13% from 2017 through first-quarter 2025 (the asset cap was lifted during the second quarter of 2025) while the average balance sheet and deposit growth at the three other money-center banks during this timeframe were 48% and 58%, respectively. If we were to assume that Wells Fargo grew its balance sheet and US deposit franchise at the same rate as the other money-center banks during this timeframe, the bank could have attracted roughly an additional $394 billion in domestic deposits, tantamount to the tenth largest deposit base in the US on a standalone basis. Because low-cost deposits are the cheapest and most stable capital that banks can

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use to fuel their lending operations and securities portfolios, the impact to profitability of the foregone growth is even higher; we estimate that Wells Fargo's net income would have been about one-third higher in 2025 if not for the asset cap, with significant implications for the firm's returns on tangible common equity. While the bank cannot immediately recover foregone historical growth, it's important to note that since the asset cap has been lifted in the middle of 2025, Wells has already grown its deposit base by roughly 5% while simultaneously lowering its deposit costs by 14 basis points, setting a strong tone for the bank's more constructive next chapter after the asset cap removal.

In addition to the restriction on balance sheet growth, Wells Fargo endured significant regulatory fines and heightened compliance costs over the preceding decade, which artificially raised its efficiency ratio above what would be more emblematic of a go-forward rate. If we were to deduct the portion of operating losses resulting from legal actions and customer remediation on account of regulatory penalties, the bank's average efficiency ratio would have been 430 basis points better and annualized returns on tangible common equity would have already been 180 basis points higher over the preceding decade, notwithstanding the incremental compliance costs needed during this era, which should precipitously taper off as a percentage of net revenue. The unprecedented nature of the asset cap and magnitude of the regulatory penalties represented a more extreme bear case than could have reasonably been predicted in 2016, yet Wells still outearned its cost of equity in every year aside from 2020, which was the result of overly cautious provisioning charges taken amid the pandemic, on top of hefty regulatory fines. The inability of all the dynamics at play over the prior decade to prevent Wells Fargo from generating through-the-cycle returns on tangible common equity that materially exceeded its cost of equity gives us high conviction in the franchise to generate economic profits over the cycle in a future where it's allowed to grow its balance sheet.

While identifying cost advantages and switching costs as the sources that underpin its moat, in adherence with our framework, we note that Wells Fargo, much like the other money-center banks, is composed of a significantly different business mix than the broader banking universe, which makes comparison across some more traditional metrics less of an apples-to-apples comparison. For example, one metric that we typically view as indicative of a cost advantage through the cycle is a lower efficiency ratio, or lower noninterest expenses as a percentage of net revenue, as it indicates that a bank can generate superior profitability per dollar of revenue than peers, often attributable to fractionalizing its fixed technology, branch operation, and compliance costs over a larger or denser base of assets. Due to the relative homogeneity of the traditional banking industry, particularly for smaller-scale operators that generate the lion's share of revenue from net interest income, we believe that the efficiency ratio is a helpful metric when assembling the mosaic to identify structural cost advantages, yet the money-center banks do not quite fit the homogenous mold. To illustrate the point, while wealth and asset management, investment banking, and institutional trading combine to comprise just 10.2% of net revenue, on average, for our regional banking coverage, these business lines

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combine to generate roughly 29.5% of net revenue for Wells Fargo. After controlling for business mix and one-time regulatory fines, we estimate that the efficiency ratio of Wells Fargo in 2023-25, if it exhibited the same mix of traditional banking, wealth and asset management, and investment banking and trading as the regional banks in our coverage, would have averaged 59.8%, edging the average of the moaty regional coverage. While this likely indicates an operational cost advantage today, it's important to remember that the efficiency ratio has also been materially dampened by the impact of the asset cap on net interest margin.

We believe Wells Fargo occupies and an attractive place in the landscape as the third-largest deposit base in the United States, roughly 81.4% larger than fourth-place Citi and more than double that of fifth-place US Bancorp. While not the most advantaged money-center bank holistically, Wells Fargo has a nuanced cost advantage over all the other money-center banks by carrying a significantly lower global systematically important bank, or GSIB, surcharge, allowing it to maintain a CET1 ratio that is 1.5%, 2.0%, and 3.0% basis points below Bank of America, Citi, and JP Morgan, respectively, which translates, by our estimates, to the generation of annualized returns on tangible common equity that are 1.7%, 2.4%, and 3.7% higher, all else equal. Further, the new Basle III re-proposal included a caveat that effectively removed the internal loss multiplier, a legacy formula that required Wells Fargo to maintain higher amounts of CET1 capital, on account of the significant operational losses that occurred from 2016-22. By our estimates, if this went into effect prior to 2025, Wells Fargo would have generated a return on tangible common equity of 16.4%, nearly 180 basis points higher. Synthesizing the thoughts laid out above, we believe Wells Fargo occupies a wonderful niche by operating with more global insulation than the other money-center banks but with significantly more scale than even the largest regional banks, enabling material cost advantages over both groups. Further, we believe that the Basel III re-proposal, in combination with the removal of the asset cap and all consent orders, has created and released a coiled spring with ample ability to significantly improve its return profile.

While Wells Fargo segregates its operations into four distinct segments, we believe that strong synergies exist between the underlying business lines that comprise them, enabling the firm to monetize commercial and retail clients across its comprehensive suite of world-class products and service offerings at levels that materially exceed its banking industry competitors. We typically focus on superior funding costs and operating efficiency as the two levers that banks can pull to utilize cost advantages over competitors, and we believe that Wells Fargo has opted to pull both levers by fractionalizing the fixed costs of operating complementary business lines under one roof, while simultaneously leveraging the holistic strength of its ecosystem to attract low-cost deposits that, in turn, enable Wells Fargo to further bolster the strength of its ecosystem. Demonstrating this quantitatively, Wells Fargo exhibited a deposit beta—or the change in the yields paid to depositors relative to changes in the federal-funds rate—that was among the best in our banking coverage during the last rate hiking cycle, which enables the maintenance of funding costs that are consistently among

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the strongest in our bank coverage. Further, the combination of funding cost advantages and diversified streams of fee income through a full ecosystem have enabled Wells Fargo to generate superior risk-adjusted revenue efficiency, evidenced by a preprovision net revenue, or PPNR, per risk-weighted asset, or RWA, profile similar to its money-center peers and significantly better than even moaty regionals. In effect, Wells Fargo has continued to contend favorably with the global behemoths despite regulators forcing it to fight with one arm tied behind its back.

Responsible for roughly 58% of consolidated deposits but only about 34% of loans, this segment functions as the primary engine for gathering low-cost retail deposits that fuel higher-yielding lending and securities investments across the enterprise. For consumer banks that have attained significant scale, competition for the prized “primary relationships,” where clients choose to house their primary transaction accounts and receive direct deposits, is significantly more predicated around service quality than pricing. We believe that even financially savvy retail clients mentally separate investing cash from operational cash, not too dissimilar from the behaviors we see with commercial clientele, with decisions regarding where to house operational cash being less driven by pure yield and more driven by factors like high-quality fraud prevention services, mobile app functionality, interconnection with the rest of the financial suite, and geographic proximity to branches and ATMs. This makes intuitive sense when considering that for the median transactional account balance (the sum of checking, savings, and money market account balances) in the United States of $8,000 (Federal Reserve Board's Survey of Consumer Finances), shopping around for an additional 50 basis points of collective yield equates to $40 annually, a gain that many simply do not feel compensates for the added time and complexity of managing accounts across multiple platforms, particularly if it raises the risk of events like insufficient funds in an account utilized for automated bill payments. Further, when distressing events like fraud occur, there is a premium that clients place on services like being able to access a client representative over the phone 24/7, access real humans at a nearby branch for resolution, and access to world-class detection systems. In quantifying the importance of these treasured primary relationships, we note that just 7% of US banking customers switched primary providers last year (BCG and the Consumer Bankers Association), implying a customer life of roughly 14 years, and for money-center peers Bank of America and JP Morgan, the retention rates of primary relationships are in the mid to high 90s. Given that one of the hallmarks of primary relationship customers is the insensitivity they show toward maximizing yield on transactional accounts, we believe that Wells Fargo’s low deposit beta during a rate hiking cycle likely indicates a primacy rate, or percentage of customers who are primary relationship customers, that is comparable to or better than the 80% and 92% rates that its money-center peers JP Morgan Chase and Bank of America report, respectively. In short, we believe that the ability to provide service quality high enough to garner a high percentage of customer relationships that exceed 15-20-plus years provides a strong competitive advantage for Wells Fargo, built on consumer switching costs, whether tangible or perceived.

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In addition to reaping the benefits of its low-cost deposit franchise, we believe the cost advantages that large-scale banks like Wells Fargo enjoy become more pronounced as you move down the income statement. As mentioned earlier, Wells Fargo generated average efficiency ratios over the trailing three years better than our moaty regional banks after controlling just for regulatory fines and business mix, let alone factoring in the impacts of legacy risk-weighting formulas for operational losses, the asset cap, and second-order effects on yielding asset mix. Wells Fargo has been meticulous in optimizing the density of its branch footprint over time, using its scale and resources to take advantage of the nonlinear relationship that exists between branch market share and deposit market share within a metropolitan-statistical-area, or MSA. Typically, we see branch market share grow much faster than deposit market share in an MSA until hitting a critical threshold, oftentimes in the high-single-digit percentage range, after which point deposit growth looks more exponential than linear, culminating in positive operating leverage as deposit growth and subsequent revenue grow faster than the personnel and occupancy needed to service them. We believe Wells Fargo has been particularly adept at maintaining strong legacy positions in major markets with a more efficient branch fleet, while simultaneously expanding its presence in new markets to take share, resulting in a deposits-per-branch ratio of $349 million, which is 26% higher than the average in our bank coverage and materially higher than all but its money-center peers.

This segment is distinct from the corporate bank that is primarily focused on serving the middle market and generally defined as companies with annual revenue between $10 million and $1 billion. We believe this business line benefits from a unique hub-and-spoke cost advantage, owing to the fractionalization of its technology over a vast clientele of roughly 60 million consumer and small business customers and a $224 billion commercial loan book. The underlying digital infrastructure is shared across the CBL, commercial banking, and CIB segments, avoiding the pitfalls of redundant "siloed" spending that amortizes over smaller scales. For example, the cross-leveraging of Fargo, Wells Fargo's artificial intelligence-powered virtual assistant, provides proactive insights to be used within Vantage, the bank's digital platform for commercial clients. This multisegment application allows Wells Fargo to "fractionalize" the massive cost of training large language models, or LLMs, across every customer type. By utilizing the same predictive engine to solve a consumer's debit card replacement query and a corporate treasurer's foreign exchange post-trade inquiry, Wells Fargo significantly reduces the need for expensive human service agents across both divisions. Additionally, middle-market client agreements typically include earnings credit rates, allowing companies to "pay" for some of the banking service fees by maintaining noninterest-bearing deposit account balances above certain thresholds. These clients typically have less sophisticated treasury divisions, resulting in balances that exceed the fee offsets they receive. Further, smaller businesses have greater sensitivity to events such as a single lost contract or a 30-day delay in a major invoice, leading to generally higher cash balance buffers to maintain the "plumbing" of the business, thereby granting Wells Fargo access to additional sources of low- or zero-cost funding. These cost advantages enable the segment to generate average

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returns on tangible common equity that exceed its cost of equity by 450 basis points, excluding pro rata share of expense adjustments to the consolidated entity above.

Further, we believe that the commercial banking business enjoys strong switching costs across its middle-market-focused clientele. For middle-market companies, switching costs primarily stem from workflow lock-in and credit dependence. Most middle-market companies lack the payment frequency and IT budget to justify paying for a bank application programming interface, or API, and either rely on the bank's proprietary web portal or a secure file transfer protocol, or SFTP, connection to batch-process daily payments from their enterprise resource planning, or ERP, system. In either case, switching banks means the company's entire accounting and treasury staff must relearn how to conduct its entire workflow (that is, initiate wires, manage users, pull reports, and so on), or undergo a costly, bespoke remapping of the company's financial data fields and security protocols. Further, middle-market firms rely heavily on revolving credit facilities for working capital, leading banks to explicitly include covenants in these loan agreements requiring the company to keep its primary operating deposits at the bank. To switch cash management providers, the company often must refinance a significant portion of its debt structure, triggering prepayment penalties and legal fees. Additionally, on this point, most banks use data from clients' payment flows to underwrite loans, so if a client leaves for a competitor, the company loses the benefit of its data-backed credit history, which could result in higher borrowing costs or lower credit limits at a new institution.

To demonstrate the net effect of these switching costs, Wells Fargo boasts average commercial client relationships of 20 years, or an annual retention rate of 95%.

The bank's corporate and investment banking, or CIB, segment delivers a suite of capital markets, banking, and financial products and services to corporate, commercial real estate, government, and institutional clients. This segment comprises a commercial bank serving larger corporate entities, an institutional trading business, and an investment banking business, which we view as tied at the hip.

For the commercial banking of large corporates, we see continued cost advantages arising due to the shared fractionalization of infrastructure costs, particularly relative to less-scaled regional operators, in addition to switching costs that arise from data degradation and the economics of platform consolidation. For large corporate clients, the switching costs shift toward data degradation and the economics of platform consolidation. Larger companies more typically utilize a third-party treasury management system, or TMS, as the front-end "glass" through which treasury teams view their workflows, powered by native API connections. Money-center banks like Wells Fargo experience minimal threat from smaller banks in poaching clients at this size due to the materially higher data fidelity it is able to provide with ISO-20022 native data architecture, when compared with regional peers that are reliant on middleware to translate messages for legacy-based core ledgers, resulting in significantly higher incidence of straight-through-processing for automated ERP reconciliation and

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lower incidence of expensive, manual reconciliation of messages that arrive with truncated data. The switching costs remain strong even for the hypothetical of a customer switching from one money-center provider to another because each bank uses a unique tagging nomenclature to refer to the same action type, which leads to elongated stretches of reconciliation "breakage" in ERP systems that were precisely tuned for the nomenclature of the legacy bank. Further, a single-bank ecosystem enables the use of sophisticated multicurrency notional pooling and intraday automated sweeping, allowing the treasury team to net global credit and debit positions in real time to eliminate expensive external borrowing costs and minimize idle, nonearning cash across disparate subsidiaries. In short, for large corporate clients that utilize third-party TMS and poly banking, the primary bank still enjoys strong switching costs associated with the operational complexity of switching providers and will offer higher ECR and interest yields to ensure higher account balances are maintained, leading to a continued retention of the bulk of the client's wallet share.

We do not see institutional trading as a business that typically lends itself to a moat in isolation, as even world-class trading desks like Goldman Sachs have generated through-the-cycle returns roughly in line with their cost of capital, at least post-Dodd-Frank regulatory reform. This happens because market-making requires a broker-dealer to hold an inventory of financial instruments on its balance sheet to facilitate client transactions, in the absence of an offsetting transaction from another client. Thus, even the higher margins associated with more opaque areas of trading, such as bespoke derivatives or block trades, are typically eaten away over time by the increased capital required on the balance sheet to support these functions. That said, we view the institutional trading business as the price of admission to compete in investment banking, as distribution is functionally a requirement to lead capital raises, where we ultimately observe stronger monetization of these client relationships.

Moats in the conventional investment banking business are primarily derived from intangible assets, driven by the strength of a bank's brand or reputation, its relationships with investors, its expertise in particular geographies and industries, and its distribution capabilities. Wells Fargo operates from a unique place in the ecosystem as it finished eighth in the global league tables for investment banking revenue in 2025, despite having minimal international presence. Due to the capital-intensive nature of operating and growing a full-service trading operation, the asset cap strongly hindered Wells Fargo from investing in that business to the degree that bulge-bracket banks were able to. As such, Wells Fargo was able to maintain its investment banking presence by leveraging the strength of the commercial banking franchise, landing lead seats on debt capital raises and advisory for corporate actions undertaken by its clientele. Looking ahead to a future without balance sheet growth constriction, we believe that Wells Fargo will be able to materially increase the scale of its trading operation, largely to improve monetization potential of the deal flow it accesses through its corporate and commercial clients, yet we struggle to see Wells Fargo out-compete the bulge-bracket investment banks endowed with stronger distribution capabilities, as a result of larger trading operations, for

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complex mergers and acquisitions transactions and large IPOs, the most lucrative sub-categories of investment banking. We note that Wells Fargo has materially improved the reputation of its investment banking franchise after poaching roughly 100 senior bankers, including star dealmakers from Morgan Stanley, JP Morgan, and Credit Suisse, leading its advisory revenue to triple from 2024 to 2025 and its ascension in the global M&A league tables from spot 17 to 9. That said, we believe there is heightened uncertainty regarding the ceiling of this ascension and the conviction that we have in the CIB segment to continue materially outearning its cost of equity is derived from the cost advantages and switching costs present in the commercial banking franchise, coupled with additional monetization of these relationships through the investment bank.

Wells Fargo's wealth and investment management, or WIM, segment provides personalized wealth management, brokerage, financial planning, lending, private banking, trust, and fiduciary products and services to affluent, high-net-worth, and ultra-high-net-worth clients. The second-order impacts of the regulatory penalties faced by Wells Fargo included simplifying business operations by focusing on the core banking franchise, ultimately leading to the sale of Allspring, its asset management business. This, combined with the temporary reputational harm that Wells Fargo experienced after the "Fake Accounts" scandal, culminated in negative net flows over the preceding seven years. Despite these headwinds, Wells Fargo still achieved an average return on tangible equity of 18.4% during this timeframe, even after accounting for the proportionate stake of the corporate/treasury segment.

Collectively, Wells Fargo has roughly $1.13 trillion in assets under management and another $1.38 trillion in client assets in brokerage accounts, making it one of the larger wealth management platforms, yet materially smaller than other wirehouse firms. Broadly speaking, we believe that wealth management is a structurally attractive industry that features dual-sided switching costs in advisor-client relationships. On the advisor side, switching costs manifest as platform switching leading to unplanned client attrition and retraining costs, both of which incentivize advisors to simply stay put. Cerulli Associates estimates that 19% of client assets do not follow advisors when they change firms, reducing the asset base on which revenue can be generated. From the client's perspective, advisors build deep trust over time by navigating them through market volatility and major life events (retirement, divorce, business sales, family death/inheritance, and so on), fostering loyalty as they acquire and retain sensitive information about their clients over time that close friends and family may not even be aware of. Further, crafting financial plans that are highly customized to an individual's or family's needs, which often involves adjusting risk tolerances and the unique timing of cash flow needs, can make benchmarking returns a Gordian knot.

Despite the impressive scale of the wealth management operation and the industry's attractive economics, we ultimately see the WIM segment as a narrow-moat business due to the persistent difficulty it seems to face in raising net new asset flows for managed assets. Wells, alongside other money-center banks, has increasingly incorporated relationship-pricing models, which provide

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customers with combined account balances across the ecosystem that exceed various thresholds, offering benefits on other products, such as improved credit card rewards and lower mortgage rates. The cost savings associated with lower mortgage rates and better credit card rewards incentivize clients to consolidate assets at Wells Fargo, making the wealth management segment one of the biggest beneficiaries. While we do believe it has resulted in some level of inflows, we note that assets under management have experienced negative net new asset flows at a negative 2.0% rate, annualized. We believe this is likely the result of high levels of advisor attrition, particularly in advisors who have built a sufficiently large book of business and want to earn a higher take-rate by testing the waters in the fast-growing independent registered investment advisor, or RIA, channel. Lending further credence to this view has been the growth of an independent contractor channel, which we interpret as an attempt to lure advisors to improve their economics without Wells Fargo losing the entire revenue stream. Given that financial markets tend to grow over the long term, the attractive economics of wealth management operations beyond a certain scale are difficult to fully derail, so long as net asset flows do not stay negative to a magnitude greater than market appreciation. To demonstrate this, from 2018-22, Wells Fargo reported advisor productivity that improved $1,219,000 from $969,000 and returns on allocated capital, including pro-rata share of unallocated corporate treasury, improved to 19.7% from 16.6%, despite annualized net flows of negative 2.6% during this timeframe and 2022 being the year of returns that the 60/40 portfolio has posted since 1937.

Concluding our thoughts on the segment, while we do not anticipate Wells Fargo becoming a premier wealth management franchise that challenges its wirehouse peers or JP Morgan Chase, we simply struggle to envision the scenario, especially given the formation of the independent channel, that leads to net outflows amounting to a level where this segment does not generate returns on tangible common equity that materially exceed 9% over the cycle and believe a narrow moat is in order.

Putting it all together, we believe that Wells Fargo warrants a wide economic moat and built durable cost advantages resulting from operating at a unique position in the landscape that lends the operational advantages of scale, materially lower funding costs, and the ability to carry lower equity capital buffers than its money-center peers. Further, we note switching costs across all four segments, combined with a regulatory backdrop that is significantly more favorable than that experienced over the trailing decade, during which Wells Fargo still generated returns on tangible common equity that materially exceeded its cost of equity. The combination of these variables gives us confidence that Wells Fargo will continue to generate risk-adjusted economic profits for at least the next two decades and warrants a wide moat rating.

Fair Value and Profit Drivers Austin Taggart, CFA, Equity Analyst, 14 Apr 2026

We are lowering our fair value estimate for Wells Fargo to $88 per share from $93 per share, primarily due to slower near-term net interest income growth.

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Consistent with other major financial institutions in our coverage, the primary drivers of Wells Fargo's valuation remain asset growth, the trajectory of its net interest margin, and the continued expansion of its core fee-earning businesses, particularly in wealth management, commercial banking, and trading. Ultimately, our revised fair value estimate equates to 1.8 times our 2026 projected tangible book value for the bank.

Digging into the drivers underpinning our fee-income growth forecasts of 4.0% over the decade ahead, we see modestly stronger revenue-generation runways in wealth management advisory fees, deposit- and lending-related fees, and investment banking fees.

For wealth management advisory fees, we forecast average assets under advisory to grow at an annualized rate of 5.0%, driven exclusively by market appreciation, as we forecast average net new asset flows of negative 0.3% over the next decade and modest fee compression, culminating in investment advisory revenue growth of 3.8%.

Turning to lending and deposit-related fees, we forecast growth at an annualized rate of 5.9% over the next 10 years, driven exclusively by increased lending and deposit-gathering activity after the lifting of the asset cap and new risk weights in the Basel III re-proposal, as we forecast net fee yields for each to compress across each segment.

Within the corporate & investment banking, or CIB, segment, we believe that investment banking revenue should hold up relatively well given the improved external environment for the business, married with Wells Fargo's deep network of corporate client relationships that yield consistent deal flow. To that tune, we believe that Wells Fargo will be able to gain slight market share in advisory and debt capital markets, while we forecast slight market share loss in equity capital markets, as we believe the breadth of the trading desk makes it less competitive than traditional bulge bracket competitors in landing large equity capital markets deals. While we view the trading operation at Wells Fargo as less advantaged than money-center peers, in addition to the belief that trading revenue will likely be at or near cyclical highs for the industry, we believe its capital-intensive nature should make it one of the largest beneficiaries of the asset cap removal, underpinning our forecast for annualized growth of 2.1% over the next decade.

Regarding the balance sheet, we view Wells Fargo as relatively insulated during the current rate-cutting cycle, as the headwinds of rate cuts should be more than offset by balance sheet growth, though we have updated our net interest income growth for 2026 to 2.6%, from 5.8% prior to the first-quarter earnings report. Updated risk weights from the Basel III Endgame re-proposal, particularly within residential real estate, should enable Wells Fargo to support its lending portfolio with slightly less common equity Tier 1 capital, improving the bank's return profile.

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Finally, expenses have been another vital point of interest with Wells Fargo, particularly as one-time costs associated with severance, fines, and consent orders should not persist. This ultimately leads us to believe that expense growth will remain manageable, projecting a 1.9% average annual noninterest expense growth over the next 10 years. Married with our solid revenue growth outlook, this cost discipline drives our expectation for Wells Fargo to achieve a 58.5% long-term efficiency ratio, in line with its moaty bank competitors, despite operating with a significantly higher mix of investment banking and wealth management.

Risk and Uncertainty Austin Taggart, CFA, Equity Analyst, 14 Apr 2026

We assign Wells Fargo a Medium Morningstar Uncertainty Rating, marrying our quantitative methodology and our qualitative assessment of the bank's highly diversified model. While operations at a bank with a $2.2 trillion balance sheet serve as a barometer for economic health, Wells Fargo's scale across its four core segments allows it to experience less volatility in profitability than the broader banking industry. Further, the lifting of all consent orders and the asset cap meaningfully derisks the company and provides higher certainty regarding the future trajectory of the firm.

Consistent with other large, diversified US banks, Wells Fargo remains sensitive to largely exogenous variables such as economic growth, interest rate changes, and asset price levels. Furthermore, substantial cyclicality in capital markets adds uncertainty to our forecasts for institutional trading and investment banking, as these fee-based segments are heavily beholden to broader investor risk appetite and asset prices.

From an environmental, social, and governance perspective, we view Wells Fargo's risks as moderate. The firm's largest risk is regulatory—it must operate under complex standards and guidelines across more than 20 countries, which it has a fairly checkered history in navigating without penalty. Further, we believe there is risk associated with the ability to continually lure and retain top-tier talent to compose its personnel exceeding 205,000 employees, as this remains essential to maintaining marquee franchises amid the intense competition in global financial services.

Capital Allocation Austin Taggart, CFA, Equity Analyst, 14 Apr 2026

We believe that Wells Fargo warrants a Standard Morningstar Capital Allocation Rating. This is reflective of our assessment that the firm's balance sheet health is sound, its investment strategy is standard, and its shareholder distribution policies are appropriate.

Considering these in sequence, we believe that Wells Fargo's balance sheet health is sound. Under the guidance of its executive team, the firm has successfully navigated severe regulatory scrutiny and improved the quality of its balance sheet. As of March 2026, the firm maintained a CET1 ratio of 10.3%, comfortably exceeding its 8.50% regulatory minimum and buffer requirement. While the bank operates with a highly leveraged profile, characteristic of the industry, it enjoys diverse funding sources and does

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not bear undue concentration risk across its loan portfolios, maintaining a healthy mix of consumer and commercial lending. Furthermore, with a supplementary leverage ratio of 5.9%, a pristine liquidity coverage ratio of 120%, approximately $872.2 billion in total available liquidity sources, and a stable base of over $1.45 trillion in deposits, the firm looks more than adequately capitalized relative to its risk exposure.

Pivoting to investments, we view the company's outlook as warranting a Standard rating. Over the past decade-plus, Wells Fargo has remained one of the dominant US banking franchises, despite operating with the impediment of an asset cap. However, the historical retail sales practices and regulatory missteps were painful mistakes that have plagued the bank after regulators enacted a severe regulatory asset cap that artificially constrained its balance sheet growth and earnings power for years. While the removal of this asset cap in 2025 serves as a flashpoint to unlock significant organic growth opportunities, we have not yet seen enough to elevate this rating. We remain confident that management would avoid repeating these historical errors, but a Standard rating remains appropriate as the firm works to consistently capture market share against peers that operated without similar constraints over the last business cycle.

That said, we are generally constructive regarding the firm's investment priorities, as it utilizes a massive technology budget to fund necessary digital innovations. With 38.1 million active digital banking customers and 33.5 million active mobile customers, the firm appears to be adroitly navigating evolving consumer demands. The firm is scaling investments in generative artificial intelligence to drive more automation and improvement in client service while migrating applications to the public and private cloud. Furthermore, it continues to aggressively optimize its physical footprint of roughly 4,093 retail bank branches while continuing to refurbish and strategically position the network to capture market share.

Finally, we assess the company's capital return strategy as appropriate. Like most large banks with inherent earnings volatility, Wells Fargo prefers to return more capital through share repurchases than through dividends, and it prioritizes organic investments above both when attractive opportunities arise. In 2025, the firm returned 27.2% and 86.3% of net income via dividends and share repurchases, respectively, which we viewed as appropriate given the depressed valuation and balance sheet constraints during the first half of the year. Looking ahead, we expect a balanced distribution strategy to continue, supported by the board of directors' authorization of a new $40 billion common share repurchase program announced in April 2025, though we expect the combined payout ratio to be closer to 75%, as opposed to regularly exceeding 100%. With a massive buffer of excess capital, the firm has the flexibility to pursue long-delayed organic growth opportunities following the asset cap removal while still prioritizing robust shareholder distributions.

Taken together, a sound balance sheet characterized by strict risk management, a standard investment rating fueled by strong technology spending but weighed down by historical regulatory and operational

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risk, and appropriate shareholder distributions underpin our Standard rating.

Analyst Notes Archive

Wells Fargo Earnings: A Slow Start to the Post-Asset-Cap Chapter, but No Alarm Bells Are Ringing
Austin Taggart, CFA,Equity Analyst,14 Apr 2026

Wells Fargo reported softer-than-anticipated first-quarter results on April 14, sending shares downward by roughly 5%. While management reaffirmed its full-year guidance, investors seem to be calling its bluff, particularly on net interest income and potential credit quality. Why it matters: While the firm did grow net revenue across each segment year over year, we were generally disappointed to see a sequential decline in net interest income amid material balance sheet growth and weakening credit metrics. Despite sequential growth in average loans and deposits of 4.2% and 2.7%, respectively, we saw net interest income, excluding markets, decline 3% from the prior quarter, as the benefits of balance sheet growth were offset by a net interest margin that declined 13 basis points to 2.47%. With the Basel III reproposal improving return metrics for some lower-risk lending, such as residential mortgage, it was discouraging to see lower net interest margins coupled with worsening credit metrics, namely a 9% sequential rise in provisions, rising charge-offs, and nonperforming assets. The bottom line: After digesting the results, we are lowering our fair value estimate for Wells Fargo to $88 from $93, primarily due to lower near-term net interest income forecasts. We see shares in this wide-moat bank as slightly undervalued after the sell-off.

Wells Fargo: Raising Our Fair Value Estimate After a Fresh Look; Shares Fairly Valued Austin Taggart, CFA,Equity Analyst,13 Apr 2026

We're transferring coverage of Wells Fargo, a North American-focused financial services firm, to a new analyst. The bottom line: We're raising our fair value estimate to $93 from $85, while maintaining our wide economic moat rating, Medium Uncertainty Rating, and Standard Capital Allocation Rating. Our raised fair value is driven by a more constructive view on noninterest revenue generation, increasing our annualized growth forecasts to 3.8% from 2.1%, and operating efficiency, improving our midcycle forecast for the efficiency ratio by roughly 100 basis points to 58.3%. The fair value increase was tempered by slower projected net interest income growth, as we believe the big banks are willing to pay higher deposit yields than in the past, recognizing higher customer monetization potential than peers and rising competition from fintech platforms. Big picture: Wells Fargo operates from an attractive place in the banking spectrum, enjoying the benefits of scale and economies of scope at levels that materially enhance its profitability more than regional banks while retaining the benefits of a reduced systemic footprint than its money-center peers. While not the most advantaged money-center bank holistically, Wells Fargo has a nuanced cost advantage over all the other money-center banks by carrying a significantly lower global systematically important bank surcharge, allowing it to maintain a

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common equity Tier 1 ratio that is 1.5%, 2.0%, and 3.0% basis points below Bank of America, Citi, and JP Morgan, respectively, which translates, by our estimates, to the generation of annualized returns on tangible common equity that are 1.7%, 2.4%, and 3.7% higher, all else equal. Wells Fargo's deposits in the US are roughly 81.4% larger than fourth-place Citi and more than double that of fifth-place US Bancorp, enabling it the opportunity to enhance profitability by fractionalizing costs across a wider base of domestically based commercial and retail clients.

US Banks: Revised Regulatory Proposals Arrive About in Line With Our Expectations Sean Dunlop, CFA,Director,19 Mar 2026

The Federal Reserve released its long-awaited proposals for a few key regulatory measures, including its proposal for the adoption of global Basel III endgame (BSE) standards and revisions to the surplus capital that global systemically important banks, or G-SIBs, must carry. Why it matters: Bank profitability and global competitiveness are heavily dictated by regulation. Results arrived largely as we had expected, with a 4.8% expected net capital reduction for the large banks in our coverage when considering the interplay between the BSE, G-SIB, eSLR, and stress test proposals. Notably, if not unexpectedly, the proposals are harsher on trading activities, which are set to see a 9.2% estimated net capital increase, contrasting sharply with traditional lending (10.6% decline) and credit facilitation (11.8% decline). This points toward the administration's efforts to bring traditional lending, particularly lower-risk lending like mortgages, back into the banking system. The bottom line: Across our large bank coverage, we had largely expected a capital release of this magnitude already, so we don't expect to change our $290, $85, $58, $710, and $104 fair value estimates for wide-moat names JPMorgan, Wells Fargo, Bank of America, Goldman Sachs, and no-moat Citigroup, respectively. We do plan to raise our $148 fair value estimate for wide-moat Morgan Stanley to $154, attributable to the lower common equity Tier 1 requirements for which we hadn't yet given the firm full credit. A muted market reaction suggests that it had priced in a capital release of a similar magnitude. Bulls say: We could see upside from here if banks are willing to hold leaner capital buffers following the formalization of these rules. With big banks holding about $190 billion in excess capital, based on the March 19, 2026, proposals, it's feasible that we could see a sharp uptick in lending appetite, particularly in categories that are set to see relief, like mortgages and commercial lending.

US Banking Sector Shares Fall on Macro Concerns and Private Credit Maoyuan Chen,Equity Analyst,23 Feb 2026

Shares of US banks traded down by low-to-mid single digits on Feb. 23, mostly due to macro concerns stemming from tariff uncertainty, possible credit losses from an increase in the unemployment rate driven by artificial intelligence disruption, and private credit-related exposure. Why it matters: Recent tariff announcements have increased uncertainty around the US economic outlook. In addition, the market is concerned that AI disruption could lead to higher layoffs, driving consumer-related credit

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losses higher. However, our 2026 base case does not assume a recession or a material increase in the unemployment rate. We also view private credit exposure as manageable for most US banks. Median exposure to non-depository financial institutions across banks under our coverage is about 11% of total loans, and asset classes within the NDFI category are diversified, and banks typically maintain internal underwriting limits by industry. We estimate that AI data center-related lending falls within business credit, which represents about 20% of total NDFI exposure across the US banking system. The losses from NDFI lending by US banks have been manageable so far. Subscription line lending and secured real estate lending are the two largest components, both generally carrying relatively low risk profiles. The bottom line: We will maintain our fair value estimates for the US banks under our coverage, and we view the US banking sector as roughly fairly valued following the Feb. 23 selloff. On average, the sector trades at about 1.0 times our fair value estimates. We also think the US banking sector is well capitalized to absorb future credit losses, with most banks maintaining buffers of 150 to 200 basis points or more above their regulatory minimums.

Wells Fargo Earnings: Tepid Outlook Weighs on Shares, but Underlying Progress Encouraging Sean Dunlop, CFA,Director,14 Jan 2026

Wells Fargo reported fourth-quarter results on Jan. 14. The shares fell roughly 5% that day, driven by weaker-than-expected guidance. Investors are keeping a keen eye on balance-sheet growth as the firm emerges from the shadow of its long-standing asset cap.Why it matters: In our view, the market reaction is more closely tied to overly optimistic expectations than any fundamental weakness in Wells Fargo's business, which continues to make strong progress toward its target of profitably growing market share in the US. To this effect, management guidance implied still-healthy 5% net interest income growth in 2026, with 1.7% annual expense growth guidance implying significant efficiency ratio improvement, particularly if our expectation for a solid backdrop in noninterest income lines materializes in 2026. Despite strong recent traction, we expect a long road ahead as Wells Fargo looks to push toward efficiency ratio parity with its peers. The ability to grow assets helps significantly, but we don't expect the firm to achieve a sub-60% efficiency ratio until 2032. We forecast a roughly 300-basis-point and 800-basis-point gap to its largest peers, Bank of America and JPMorgan, at midcycle levels.The bottom line: After digesting results, we raise our fair value estimate for wide-moat Wells Fargo to $85 per share from $83, attributable to time value of money and stronger prospective results in asset-based businesses like wealth and investment management and in transaction-based businesses like investment banking and trading during the year to come. The shares now look fairly priced. With fiscal stimulus set to hit in 2026, asset prices remaining elevated, and expectations for a couple of interest rate cuts over the year to come, we've pushed our expectation for a market correction out to 2028. This underpins our more constructive outlook on asset-backed and activity-based businesses over the near term.

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Stress-Test Regulatory Changes Slightly Positive for US Banks; 2026 Scenario Also Looks Less Harsh

Maoyuan Chen,Equity Analyst,27 Oct 2025

The Federal Reserve released a new proposal for the bank stress-test framework and 2026 stress-test scenarios on Oct. 24. Why it matters: The Fed estimated that the new proposal would lower the average stress capital buffer for US banks by 23 basis points, equivalent to 2.2% of current required capital. All else equal, lower required capital supports a higher return on equity. US global systemically important banks are expected to benefit more than the industry average, with an estimated 25-basis-point decline in the SCB. The new stress-test framework also increases transparency as the Fed is now disclosing more details regarding model assumptions that were previously in a "black box." The Fed will also consider banks' feedback before finalizing the scenarios. The bottom line: We will maintain our fair value estimates for US banks under our coverage, as we have already modeled flat to slightly declining common equity Tier 1 ratios for our US bank coverage over the next several years. We believe the US banking system is well capitalized, and the banks have excess capital to return to shareholders via share buybacks. While we view money center banks' share prices as expensive, regional banks' valuations are less demanding, and buybacks at current price levels should be accretive for most regional banks under our coverage. Key stats: The Fed also released the 2026 severely adverse scenario for public comment. We view it as less harsh than the 2025 version, which should benefit stress capital test results in 2026, in addition to the positive impact from the model changes. The 2026 severely adverse scenario includes real gross domestic product declining by 4.8% (2025: negative 7.8%), the unemployment rate rising by 5.5% (2025: 5.9%), and house prices falling by 29% (2025: negative 33%). Partially offsetting this, equity prices drop by 54% (versus 50% in 2025), and commercial real estate prices fall by 40% (versus 30%).

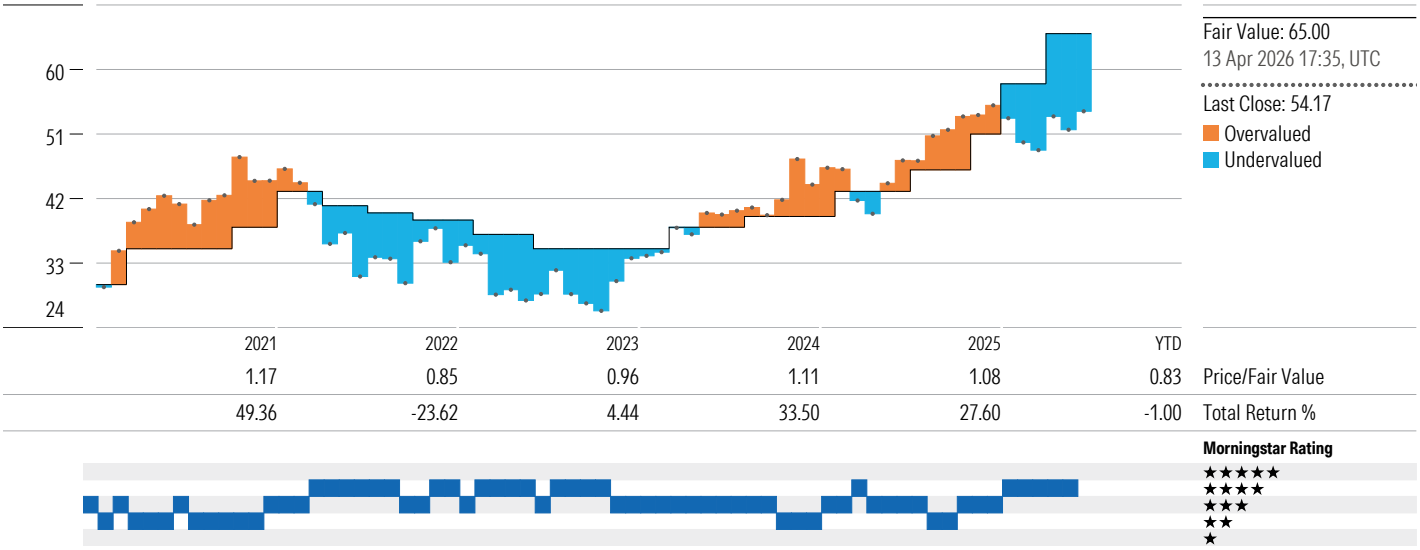
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Competitors Price vs. Fair Value

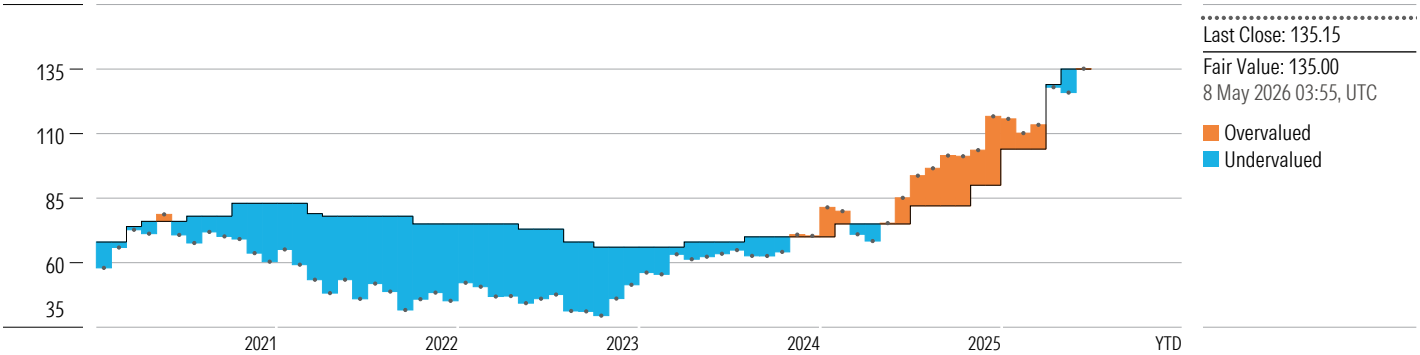
Bank of America Corp BAC



	2021	2022	2023	2024	2025	YTD	
	1.17	0.85	0.96	1.11	1.08	0.83	Price/Fair Value
	49.36	-23.62	4.44	33.50	27.60	-1.00	Total Return %

Total Return % as of 04 Jun 2026. Last Close as of 04 Jun 2026. Fair Value as of 13 Apr 2026 17:35, UTC.

Citigroup Inc C



	2021	2022	2023	2024	2025	YTD	
	0.73	0.60	0.78	1.01	1.30	0.98	Price/Fair Value
	1.25	-21.73	18.33	41.08	69.07	16.85	Total Return %



Total Return % as of 04 Jun 2026. Last Close as of 04 Jun 2026. Fair Value as of 8 May 2026 03:55, UTC.

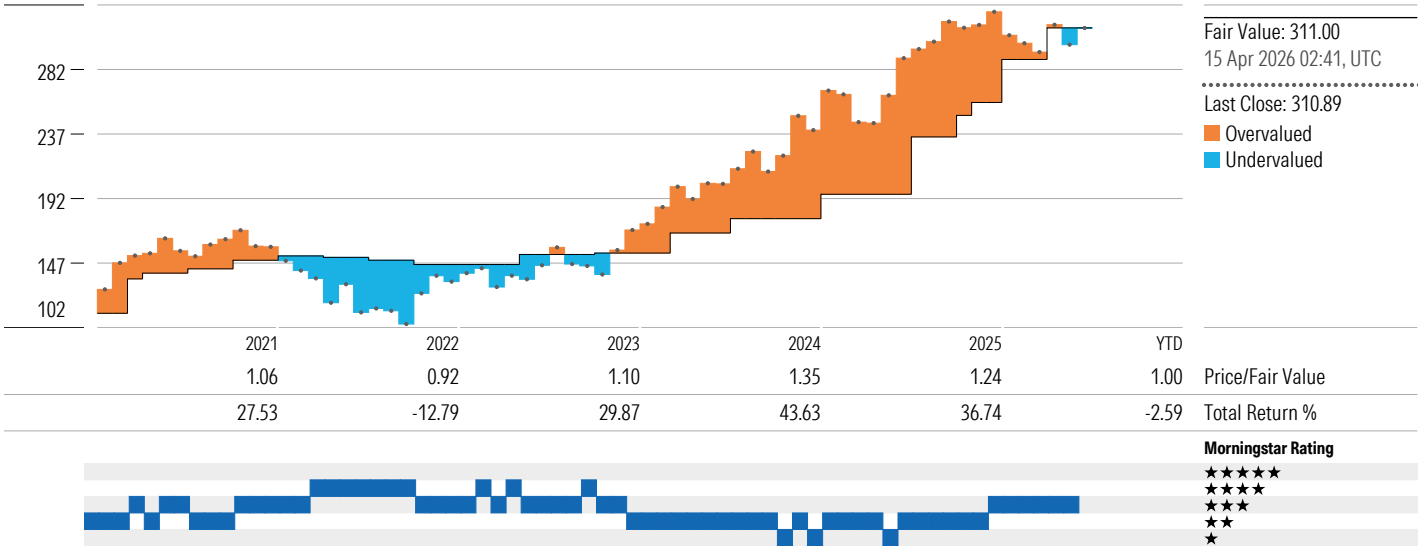
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Competitors Price vs. Fair Value

JPMorgan Chase & Co JPM



Total Return % as of 04 Jun 2026. Last Close as of 04 Jun 2026. Fair Value as of 15 Apr 2026 02:41, UTC.

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Morningstar Valuation Model Summary

Financials as of 17 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Net Interest Income (USD Mil)	52,375	47,676	47,484	48,723	50,912	50,309	51,281	52,499
Non Interest Income (USD Mil)	30,222	34,620	36,215	38,221	41,051	40,095	43,621	42,647
Total Pre-Provision Revenue (USD Mil)	82,597	82,296	83,699	86,944	91,963	90,404	94,902	95,146
Provision for Loan Losses (USD Mil)	5,399	4,334	3,658	4,125	6,113	6,422	6,485	6,309
Operating Expenses (USD Mil)	55,562	54,598	54,842	55,171	56,476	55,023	56,624	56,844
Operating Income (USD Mil)	21,636	23,364	25,199	27,648	29,374	28,959	31,793	31,994
Net Income Available to Common Stockholders (USD Mil)	19,142	19,722	21,338	22,464	23,231	22,915	25,169	25,340
Adjusted Net Income (USD Mil)	17,982	18,606	20,285	21,434	22,214	21,843	24,050	24,169
Weighted Average Diluted Shares Outstanding (Mil)	3,720	3,468	3,242	3,112	2,995	2,881	2,755	2,628
Earnings Per Share (Diluted) (USD)	4.83	5.37	6.26	6.89	7.42	7.58	8.73	9.20
Adjusted Earnings Per Share (Diluted) (USD)	4.83	5.37	6.26	6.89	7.42	7.58	8.73	9.20
Dividends Per Share (USD)	1.30	1.50	1.70	1.93	1.93	1.93	2.18	2.30

Margins & Returns as of 17 Apr 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Net Interest Margin %	2.7	3.0	2.7	2.5	2.3	2.3	2.1	2.0	2.0	2.1
Efficiency Ratio %	66.4	67.3	66.3	65.5	63.5	61.4	60.9	59.7	59.7	61.0
Provision as % of Loans	0.5	0.6	0.5	0.4	0.4	0.5	0.5	0.5	0.4	0.5

Growth & Ratios as of 17 Apr 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Net Interest Income Growth %	1.8	16.5	-9.0	-0.4	2.6	4.5	-1.2	1.9	2.4	2.0
Non Interest Income Growth %	7.2	2.7	14.5	4.6	5.5	7.4	-2.3	8.8	-2.2	3.3
Total Pre-Provision Revenue Growth %	—	11.1	-0.4	1.7	3.9	5.8	-1.7	5.0	0.3	—
Operating Expenses Growth %	—	-2.9	-1.7	0.4	0.6	2.4	-2.6	2.9	0.4	—
Operating Income Growth %	—	38.4	8.0	7.9	9.7	6.2	-1.4	9.8	0.6	—
Net Income Growth %	17.3	40.0	3.0	8.2	5.3	3.4	-1.4	9.8	0.7	—
Earnings Per Share Growth %	24.1	47.6	11.0	16.6	10.1	7.7	2.2	15.1	5.3	8.0

Valuation as of 17 Apr 2026	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	10.2	13.1	14.9	11.9	11.0	10.8	9.4	8.9
Price/Book	—	—	—	—	—	—	—	—
Price/Tangible Book	1.3	1.8	2.2	1.8	1.6	1.5	1.4	1.2
Dividend Yield %	2.1	1.8	2.2	2.4	2.4	2.4	2.7	2.8
Dividend Payout %	26.9	28.0	27.2	28.0	26.0	25.4	25.0	25.0

Operating Performance / Profitability as of 17 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	1.0	1.0	1.1	1.0	1.0	0.9	0.9	0.9
ROE %	10.5	10.8	11.9	12.3	12.4	11.7	12.3	11.8
Return on Tangible Equity %	13.0	13.5	14.8	15.2	15.1	14.1	14.8	14.2

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
Equity/Assets %	9.6	9.3	8.4	7.9	7.7	7.5	7.5	7.5

Forecast Revisions as of	2026		2027		2028	
Prior data as of	Current	Prior	Current	Prior	Current	Prior
Fair Value Estimate Change (Trading Currency)	88.00	—	—	—	—	—
Net Interest Income (USD Mil)	48,723	48,723	50,912	50,912	50,309	50,309
Total Pre-Provision Revenue (USD Mil)	86,944	86,944	91,963	91,963	90,404	90,404
Operating Income (USD Mil)	27,648	27,648	29,374	29,374	28,959	28,959
Net Income (USD Mil)	—	—	—	—	—	—
Earnings Per Share (Diluted) (USD)	6.89	6.89	7.42	7.42	7.58	7.58
Adjusted Earnings Per Share (Diluted) (USD)	6.89	6.89	7.42	7.42	7.58	7.58
Dividends Per Share (USD)	1.93	1.93	1.93	1.93	1.93	1.93

Key Valuation Drivers as of 17 Apr 2026

Cost of Equity %	9.0
Stage II Net Income Growth Rate %	3.9
Stage II Incremental ROIC %	11.5
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 17 Apr 2026

	USD Mil
Present Value Stage I	0
Present Value Stage II	0
Present Value of the Perpetuity	0
Total Common Equity Value before Adjustment	**0**
Other Adjustments	—
Equity Value	**255,908**
Projected Diluted Shares	2,962
Fair Value per Share (USD)	**88.00**

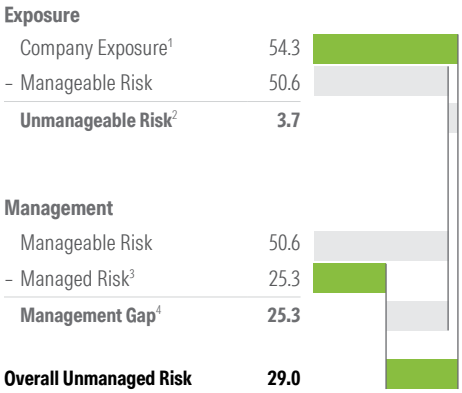
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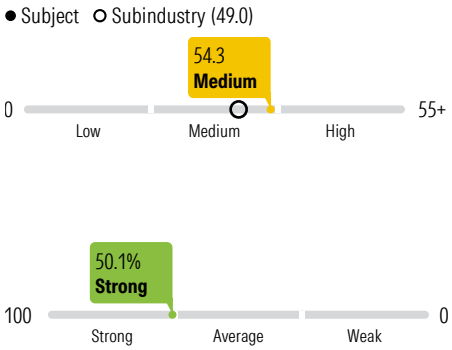
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ESG Risk Rating Breakdown

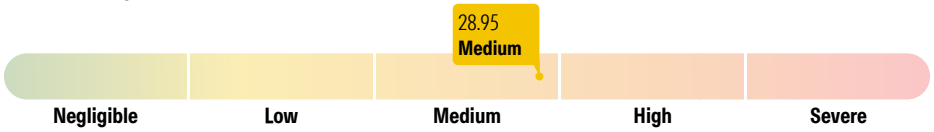




- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating is of Jun 04, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Diversified Banks. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 50.1% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 04 Jun 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Wells Fargo & Co	54.3 | Medium	0	55+	50.1 | Strong	100	0	29.0 | Medium	0	40+
Bank of America Corp	52.6 | Medium	0	55+	68.1 | Strong	100	0	19.2 | Low	0	40+
Citigroup Inc	52.5 | Medium	0	55+	77.1 | Strong	100	0	14.7 | Low	0	40+
JPMorgan Chase & Co	51.1 | Medium	0	55+	72.4 | Strong	100	0	16.6 | Low	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

Wells Fargo & Co WFC 5 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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Bank of America Corp BAC 5 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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Citigroup Inc C 5 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★

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JPMorgan Chase & Co JPM 5 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★	★★	★★	★★★	★★★	★★	★★★	★★	★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

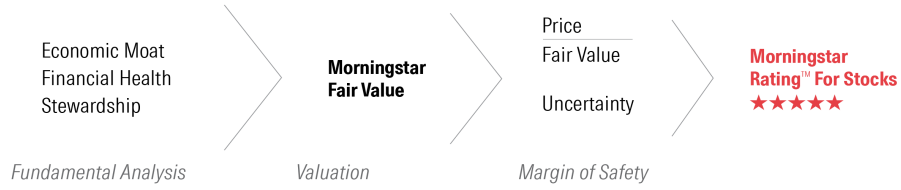
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

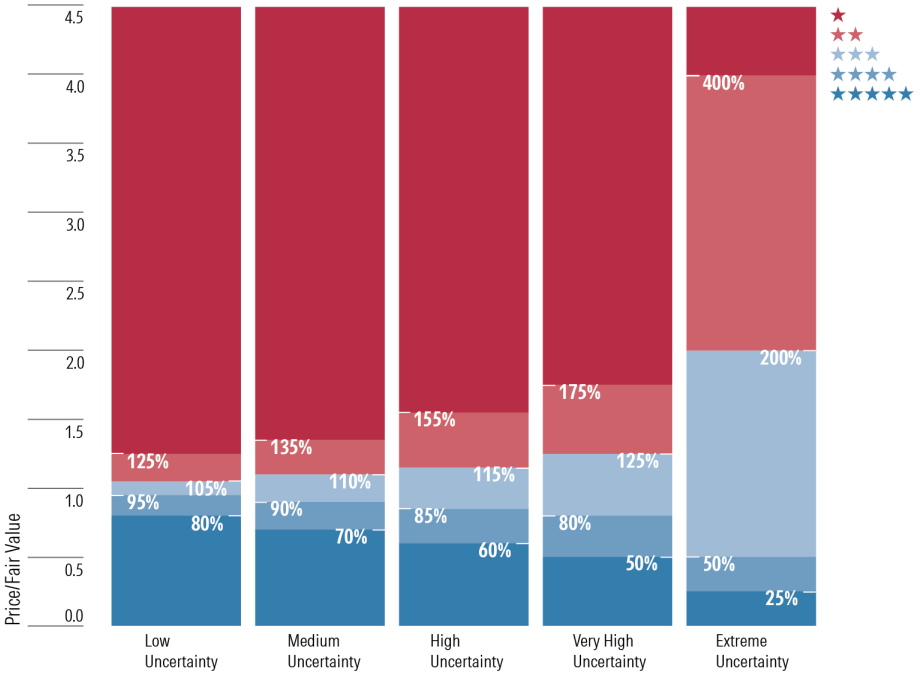
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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